

WHEN TO SELL A TURNAROUND

The best time to sell a turnaround is after it's turned around. All the troubles are over and everybody knows it. The company has become the old self it was before it fell apart: growth company or cyclical or whatever. The shareholders aren't embarrassed to own it again. If the turnaround has been successful, you have to reclassify the stock.

Chrysler was a turnaround play at \$2 a share, at \$5, and even at \$10 (adjusted for splits), but not at \$48 in mid-1987. By then the debt was paid and the rot was cleaned out, and Chrysler was back to being a solid, cyclical auto company. The stock may go higher, but it's unlikely to see a tenfold rise. It has to be judged the same way that General Motors, Ford, or other prosperous companies are judged. If you like the autos, keep Chrysler. It's doing well in all divisions, and the acquisition of American Motors gives it some extra long-term potential, along with some extra short-term problems. But if you specialize in turnarounds, sell Chrysler and look for something else.

General Public Utilities was a turnaround at \$4 a share, at \$8, and at \$12, but after the second nuclear unit was returned to service, and other utilities agreed to help pay the costs of the Three Mile Island cleanup, GPU became a quality electric utility again. Nobody thinks GPU is going out of business anymore. The stock, now at \$38, may hit \$45, but it certainly isn't going to hit \$400.

Other signs:

- Debt, which has declined for five straight quarters, just rose by \$25 million in the latest quarterly report.
- Inventories are rising at twice the rate of sales growth.
- The p/e is inflated relative to earnings prospects.
- The company's strongest division sells 50 percent of its output to one leading customer, and that leading customer is suffering from a slowdown in its own sales.

WHEN TO SELL AN ASSET PLAY

Lately, the best idea is to wait for the raider. If there are really hidden assets there, Saul Steinberg, the Hafts, or the Reichmanns will figure it out. As long as the company isn't going on a debt binge, thus reducing the value of the assets, then you'll want to hold on.

Alexander and Baldwin owns 96,000 acres of Hawaiian real estate in addition to its exclusive shipping rights into the island plus other assets. A lot of people estimated that this \$5 stock (adjusted for splits) was worth much more. They tried to be patient, but nothing happened for several years. Then a Mr. Harry